Question # 4 of 10 (Start time: 03:35:39 PM, 05 January 2026)

Janet sells a product for Rs.6.25 each. The variable cost is Rs.3.75 per unit. Janet's break-even units are 35,000. What is the amount of fixed costs?

Select the correct option

- (●) Rs. 87,500
- ( ) Rs. 104,750
- ( ) Rs. 35,000
- ( ) Rs.131,250

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 3 of 10 (Start time: 03:35:27 PM, 05 January 2026)

Cost volume Profit analysis (CVP) is a behavior of how many variables?

Select the correct option

- ○ 5
- ○ 4
- ◉ 3
- ○ 2

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 2 of 10 (Start time: 03:35:13 PM, 05 January 2026)

An assumption of CVP analysis is that a change in total costs is caused because of a change in which of the following factors?

Select the correct option

○	Sales commission per unit
○	Direct material cost
○	Direct labor cost
●	The number of units sold

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 1 of 10 (Start time: 03:35:01 PM, 05 January 2026)

Which of the following costs do not change when the activity base fluctuates?

Select the correct option

○	Variable costs
○	Mixed costs
◉	Fixed costs
○	Discretionary costs

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 10 of 10 (Start time: 03:32:01 PM, 05 January 2026)

Consider the following data for the month of May:
Sales 150 units,Opening units 120 units,Closing 80 units
Based on the data, production in May will have to be?

Select the correct option

○	150 units
○	190 units
●	110 units
○	50 units

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 9 of 10 (Start time: 03:31:50 PM, 05 January 2026)

While constructing a Break even chart, the gap between sales line and variable cost line shows which of the following?

Select the correct option

○	Break even point
●	Contribution margin
○	Variable cost
○	Fixed cost

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 8 of 10 (Start time: 03:31:31 PM, 05 January 2026)

While constructing production budget, numbers of units manufactured are calculated by which of the following formula?

Select the correct option

○	Number of units to be sold - closing units – opening units
◉	Number of units to be sold + closing units – opening units
○	Number of units to be sold - closing units + opening units
○	Number of units to be sold + closing units + opening units

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 7 of 10 (Start time: 03:31:18 PM, 05 January 2026)

Amount of Depreciation on fixed assets will be fixed, in nature, if calculated under which one of the following methods?

Select the correct option

- (●) Straight line method
- ( ) Reducing balance method
- ( ) Sum of years' digits method
- ( ) Double declining method

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 6 of 10 (Start time: 03:30:59 PM, 05 January 2026)

In which of the following way the last month closing inventory figure will be treated?

Select the correct option

○	Will not be carried forward
○	As units sold for the same months
○	As closing inventory of next month
●	As opening inventory of next month

Question # 5 of 10 (Start time: 03:30:41 PM, 05 January 2026)

Company A's fixed costs were Rs.45,000, its variable costs were Rs. 24,000, and its sales were Rs.80,000. What is the company's break-even point in sales Rs?

Select the correct option

○	Rs. 33,000
◉	None of the given options
○	Rs. 79,000
○	Rs. 57,000

MGT402 - Cost & Management Accounting (Quiz 3)

Quiz Start Time: 03:29 PM, 05 January 2026

Question # 4 of 10 (Start time: 03:30:17 PM, 05 January 2026)

Total Marks: 1

The current sales price is Rs. 25 per unit and the current variable cost is Rs. 17 per unit. Fixed costs are Rs. 40,000. If the sales price is increased by Rs. 2 and all other costs remain unchanged, what will happen to the break-even point in units?

Select the correct option

- ○ It will not change
- ○ It will decrease by 2,000 units
- ○ It will increase by 1,000 units
- ◉ It will decrease by 1,000 units

Click to Save Answer & Move to Next Question

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 3 of 10 (Start time: 03:30:04 PM, 05 January 2026)

Which of the following is true of the manufacturing overhead budget?

Select the correct option

○	Depreciation has to be deducted as a non-cash expense in order to determine the level of cash required for overhead
●	All of the given options
○	Provides a schedule of all costs of production other than direct materials and direct labor
○	Includes both variable and fixed costs associated with overhead

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 2 of 10 (Start time: 03:29:53 PM, 05 January 2026)

Which of the following is/are true for construction of conventional break-even chart?

Select the correct option

○	Sales revenue and variable costs are plotted from the origin
●	All of the given options
○	Fixed costs are plotted as a straight line parallel to the horizontal axis
○	Total costs represent fixed plus variable costs

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 1 of 10 (Start time: 03:29:35 PM, 05 January 2026)

Which of the following is true for the direct labor cost budget?

Select the correct option

○	In the direct labor budget, ending inventory is subtracted and beginning inventory is added
◉	It is prepared from the production budget
○	It is prepared from the sales budget
○	The first line of the direct labor budget is total direct labor cost

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 10 of 10 (Start time: 03:37:13 PM, 05 January 2026)

When a budget is administered wisely, it will

Select the correct option

◉	Provide a framework for performance evaluation
○	Eliminate coordination and communication between subunits
○	Discourage strategic planning
○	Discourage managers and employees

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 9 of 10 (Start time: 03:36:56 PM, 05 January 2026)

Consider the following data for the month of April:
Closing stock 80 units,Production 280 units,Sales 330 units
Based on the data, the opening stock for April will have to be:

Select the correct option

○	50 units
○	70 units
◉	130 units
○	410 units

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 8 of 10 (Start time: 03:36:43 PM, 05 January 2026)

While constructing production budget, numbers of units manufactured are calculated by which of the following formula?

Select the correct option

- ○ Number of units to be sold + closing units + opening units
- ○ Number of units to be sold - closing units – opening units
- ● Number of units to be sold + closing units – opening units
- ○ Number of units to be sold - closing units + opening units

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 7 of 10 (Start time: 03:36:30 PM, 05 January 2026)

Which of the following is the main objective of direct material budget?

Select the correct option

○	Financial Arrangements
○	Developing purchasing requirements
○	Determination of minimum and maximum stock level
●	All of the given options

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 6 of 10 (Start time: 03:36:15 PM, 05 January 2026)

Consider the following data for the month of May:
Sales 150 units,Opening units 120 units,Closing 80 units
Based on the data, production in May will have to be?

Select the correct option

○	150 units
◉	110 units
○	190 units
○	50 units

MGT402 - Cost & Management Accounting (Quiz 3)

Question # 5 of 10 (Start time: 03:36:01 PM, 05 January 2026)

In which of the following way the last month closing inventory figure will be treated?

Select the correct option

◉	As opening inventory of next month
○	As closing inventory of next month
○	As units sold for the same months
○	Will not be carried forward